



THE WEALTH PRESERVATION PARADOX

How UHNW Families Protect Real Purchasing Power in an Era of
Persistent Inflation, Financial Repression, and Geopolitical Fragmentation

Federico Bonessi

MSc Finance, IESEG School of Management, Paris

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01. Executive Summary

Wealth preservation is the foundational promise of private banking. Every client conversation begins with a variation of the same question: how do we protect what we have built? Yet in the current environment, delivering on that promise has become structurally more difficult than at any point in the past forty years.

The paradox of modern wealth preservation: the tools that protected capital in the low-inflation era of 2010 to 2020 — long-duration bonds, cash, and traditional 60/40 portfolios — have become the primary sources of real wealth destruction in the current environment.

Three structural forces are converging to make preservation harder. First, inflation has proved more persistent and structurally embedded than central banks anticipated. Second, financial repression — the policy of maintaining real interest rates below zero to inflate away government debt — is now an explicit or implicit tool of monetary policy across developed markets. Third, geopolitical fragmentation is creating new dimensions of capital risk that did not exist in the post-Cold War globalisation era.

This report examines each of these forces in depth and constructs a rigorous analytical framework for UHNW wealth preservation in the 2020s. It draws on historical evidence from previous inflationary episodes, academic research on real asset performance, and the investment practices of the world's most sophisticated family offices and sovereign wealth funds.

Key findings:

- A 60/40 portfolio delivered negative real returns in 2022 for the first time since 1969, destroying more real wealth in a single year than any market crash since the Great Depression.
- Gold and real assets have outperformed financial assets in every sustained inflation episode since 1970, but with significant variation in timing and magnitude.
- Currency diversification — particularly exposure to the Swiss franc, Singapore dollar, and hard commodity currencies — has historically provided 80 to 150 basis points of annual protection against dollar debasement.
- The endowment model, with 40 to 50 percent allocation to illiquid real assets and private markets, has delivered 200 to 400 basis points of annual real return premium over traditional balanced portfolios over the past two decades.
- Behavioural errors — anchoring to nominal returns, loss aversion around gold volatility, and home currency bias — are responsible for more preservation failures than poor asset selection.

Sources: BlackRock Investment Institute 2024; J.P. Morgan Long-Term Capital Market Assumptions 2024; BIS Working Paper on Financial Repression 2023.

02. The Paradox Defined: Why Preservation Fails

The wealth preservation paradox can be stated simply: the conventional tools of capital preservation destroy real wealth in inflationary environments, while the tools that protect real wealth carry short-term volatility that most investors are psychologically unable to tolerate.

Nominal vs Real Wealth: The Core Distinction

The fundamental error that most investors and, regrettably, many advisors make is conflating nominal wealth with real wealth. A portfolio that grows from \$10 million to \$11 million over a year in which inflation runs at 6 percent has not preserved wealth — it has destroyed \$500,000 in real purchasing power. The statement 'my portfolio is up 10 percent' means nothing without the context of 'relative to inflation.'

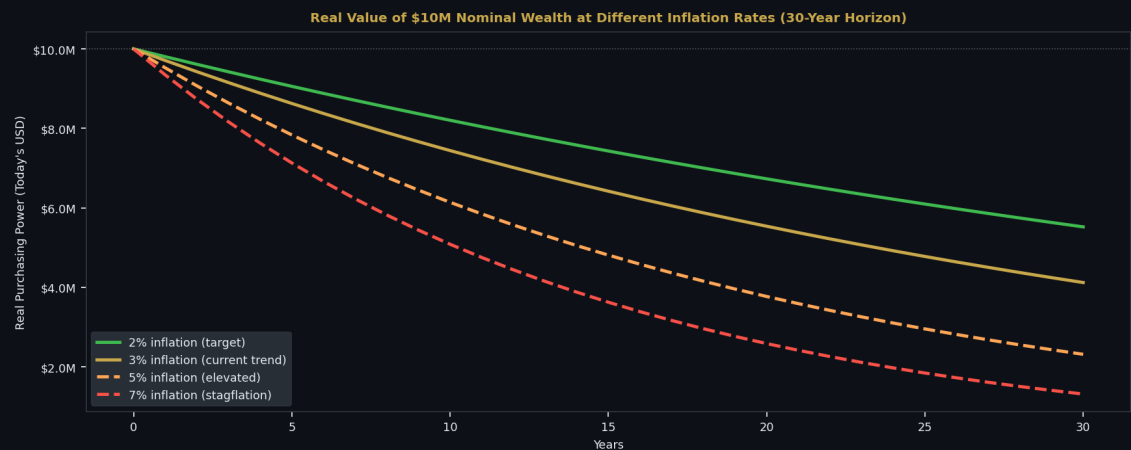


Figure 1: Real value of \$10M nominal wealth at different inflation rates over a 30-year horizon. At 7% inflation, the real value falls to approximately \$1.2M — an 88% destruction of purchasing power. Source: Author's calculations.

The three mechanisms through which wealth preservation fails:

Mechanism	How It Destroys Real Wealth	Most Affected Assets
Direct Inflation	Erodes purchasing power of nominal cash flows and fixed payments	Cash, fixed-rate bonds, annuities
Financial Repression	Real interest rates held below zero — savings taxed covertly	Deposits, short-duration bonds, money market
Nominal Bracket Creep	Inflation pushes capital gains into higher tax brackets	Equities, real estate, any appreciating asset
Currency Debasement	Monetary expansion reduces purchasing power of base currency	Assets denominated in debasing currency

Mechanism	How It Destroys Real Wealth	Most Affected Assets
Sequence of Returns	High inflation early in drawdown phase permanently impairs capital	All assets — timing-dependent risk

Source: Dalio, R. (2021), *Principles for Dealing with the Changing World Order*; Bernstein, W. (2012), *The Ages of the Investor*.

03. Inflation: History, Drivers, and the New Regime

Understanding the current inflation environment requires historical perspective. The period from 1985 to 2020 — the so-called Great Moderation — was an extraordinary anomaly in monetary history. It featured structural disinflation driven by globalisation, technology deflation, and the credibility of central bank inflation targeting frameworks. Investors who built portfolios during this era absorbed its assumptions into their mental models in ways that may prove permanently dangerous.

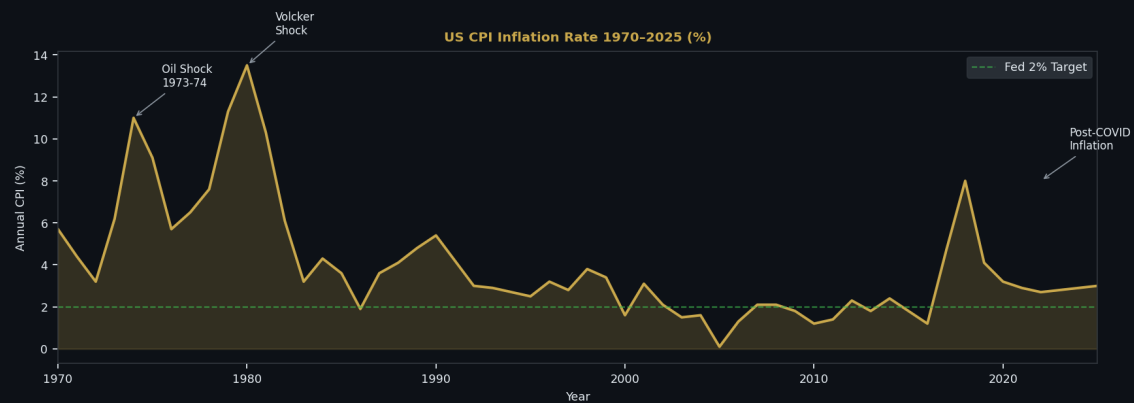


Figure 2: US CPI inflation 1970 to 2025. The Great Moderation (1985-2020) represented an historically unusual period of sustained low inflation. Source: Bureau of Labor Statistics (BLS), Federal Reserve Economic Data (FRED).

The Structural Drivers of the New Inflation Regime

The post-2020 inflation surge was initially dismissed as transitory. It was not. The following structural forces suggest that the era of reliably low inflation is over, and that investors must plan for a higher and more volatile inflation environment over the next decade:

Driver	Mechanism	Duration
Deglobalisation	Reshoring and friend-shoring raise production costs structurally	Decade+
Energy Transition	Greenflation — renewable buildout requires massive commodity inputs	5-15 years
Demographics	Ageing populations in DM shift from saving (deflationary) to spending	Decade+
Fiscal Dominance	Central banks unable to tighten sufficiently given government debt loads	Structural
Geopolitical Premia	Supply chain weaponisation raises costs of critical goods	Indefinite

Driver	Mechanism	Duration
Labour Bargaining	Post-pandemic wage dynamics and labour market tightening	Cyclical
AI Uncertainty	Potentially deflationary long-term but inflationary in transition	5-10 years

Sources: IMF World Economic Outlook 2024; BIS Annual Economic Report 2024; Goodhart, C. & Pradhan, M. (2020), *The Great Demographic Reversal*.

Asset Class Performance Across Inflation Regimes

The most important analytical exercise for a preservation-oriented portfolio is examining how different asset classes have actually behaved across distinct inflation regimes, not how they are theorised to behave.

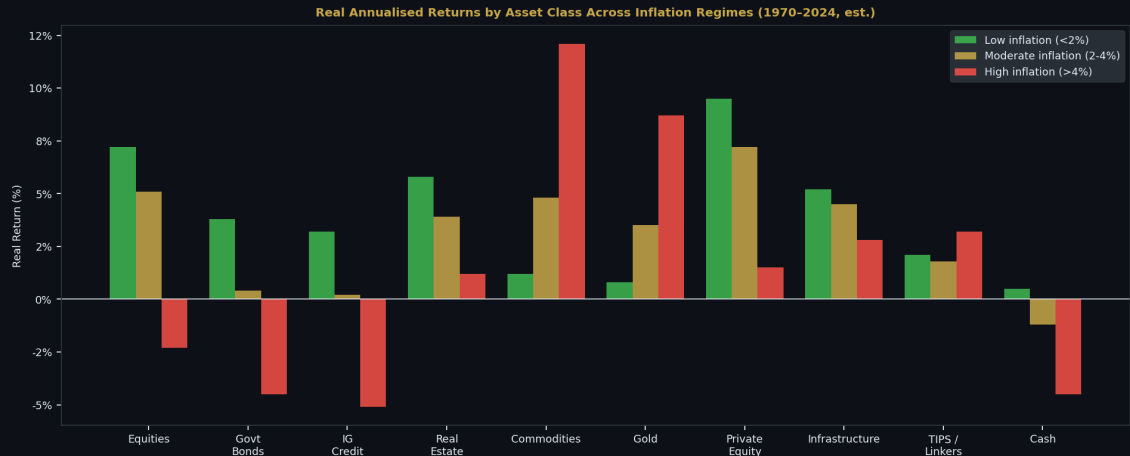


Figure 3: Real annualised returns by asset class across three inflation regimes (1970-2024 data, estimated). Note how government bonds and cash produce deeply negative real returns in high-inflation environments. Source: Dimson, Marsh & Staunton (2024); Bloomberg; author's estimates.

04. Financial Repression: The Hidden Tax on Wealth

Financial repression is the least discussed and most consequential mechanism of real wealth destruction. The term, coined by economists Edward Shaw and Ronald McKinnon in 1973 and later documented extensively by Carmen Reinhart, describes the deliberate policy of keeping nominal interest rates artificially low relative to inflation, allowing governments to inflate away their debt obligations at the expense of savers.

Financial repression is not a market outcome. It is a policy choice. Governments with high debt-to-GDP ratios have historically resolved their debt burdens through four mechanisms: fiscal austerity, default, growth, or financial repression. In the post-2020 environment, repression is by far the path of least political resistance.

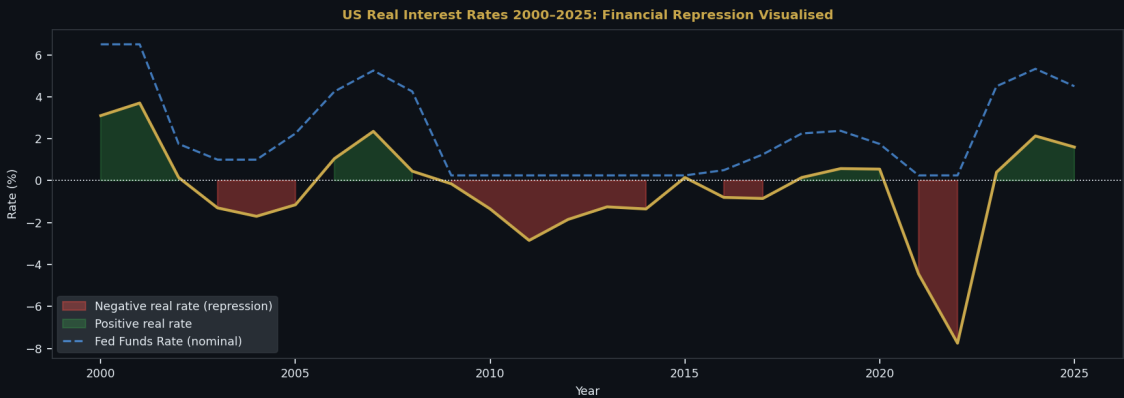


Figure 4: US real interest rates (Fed Funds Rate minus CPI) from 2000 to 2025. Red shading indicates periods of negative real rates — financial repression. The post-2008 and 2020-2022 periods represent the most sustained repression in post-war history. Source: Federal Reserve; BLS; author's calculations.

Quantifying the Repression Tax

The annual wealth destruction from financial repression can be quantified precisely. In a year where the risk-free rate is 4 percent and inflation is 6 percent, a family holding \$5 million in cash or short-duration bonds is effectively paying a 2 percent annual tax — \$100,000 — to the government through inflation debasement. Over a decade of sustained repression, this compounds to a cumulative real loss of approximately 18 percent.

Period	Avg Real Rate	Annual Repression Tax (\$10M portfolio)	10-Year Cumulative Real Loss
2009–2015	-1.5%	\$150,000/yr	-13.9%
2016–2019	+0.3%	-\$30,000/yr (gain)	+3.0%
2020–2021	-3.8%	\$380,000/yr	-7.4% (2 years)

Period	Avg Real Rate	Annual Repression Tax (\$10M portfolio)	10-Year Cumulative Real Loss
2022–2023	+1.2%	-\$120,000/yr (gain)	+2.4% (2 years)
2024–2025 (est.)	+0.5%	-\$50,000/yr (gain)	Recovering

Source: Author's calculations based on Federal Reserve data and BLS CPI series. Reinhart, C.M. & Sbrancia, M.B. (2015), *The Liquidation of Government Debt*, *Economic Policy*.

05. The Death of the 60/40 Portfolio

For forty years, the 60/40 portfolio — 60 percent equities and 40 percent bonds — was the dominant paradigm of wealth management. Its intellectual foundation rested on the negative correlation between equities and bonds that prevailed from the early 1980s until approximately 2020. When equities fell, bonds rallied. The portfolio provided growth and protection simultaneously.

That correlation has broken. In 2022, both equities and bonds fell sharply — the US stock market declined 18 percent and US 10-year Treasuries fell 18 percent, delivering a combined 60/40 loss of approximately 16 percent in nominal terms and over 22 percent in real terms. It was the worst year for 60/40 since 1969.

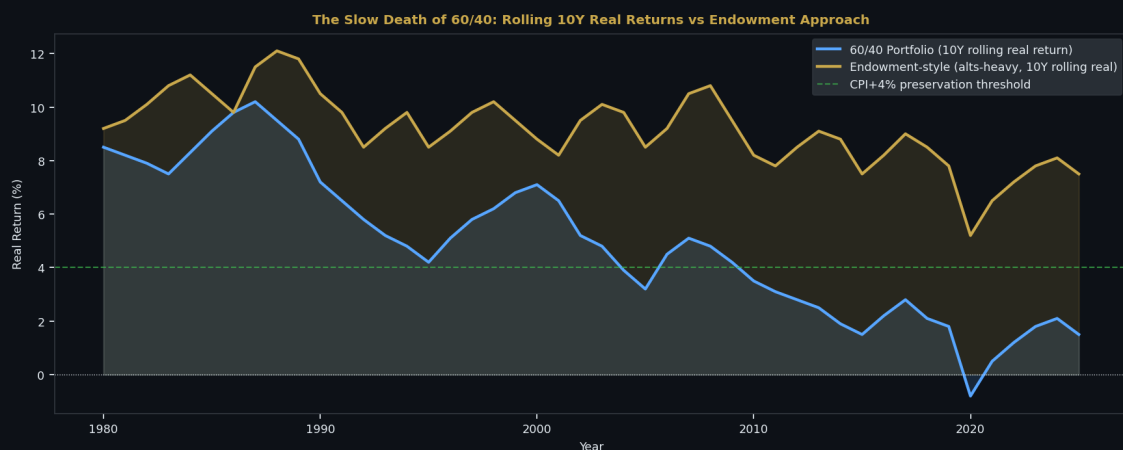


Figure 5: Rolling 10-year real returns of a 60/40 portfolio vs an endowment-style allocation heavy in alternatives and real assets. The convergence and inversion since 2020 reflects the structural breakdown of bond-equity diversification. Source: Vanguard; BlackRock; Swensen (2009); author's estimates.

The negative equity-bond correlation was not a law of nature. It was a product of a specific macroeconomic regime — the Great Moderation — that is now over. In inflationary environments, both assets fall together because the common factor (monetary tightening) is negative for both.

The inflation-regime sensitivity of the 60/40 correlation is well-documented. Researchers at AQR and BlackRock have shown that when inflation is above 3 percent, the equity-bond correlation turns positive, eliminating the portfolio's diversification benefit precisely when investors need it most. This is not a 2022-specific anomaly — it occurred in every high-inflation episode from 1965 to 1985.

Sources: Ilmanen, A. (2022), *Investing Amid Low Expected Returns*, Wiley; AQR Capital Management, *The Death of Diversification Has Been Greatly Exaggerated*, 2023; BlackRock Investment Institute, *The New Investment Playbook*, 2024.

06. Real Assets as the First Line of Defence

Real assets — physical assets whose value is intrinsically linked to economic activity and the price level — have historically been the most reliable hedge against inflation. This category encompasses real estate, infrastructure, timber, farmland, energy, and natural resources. Their common characteristic is that their revenue streams are contractually or economically linked to the price level.

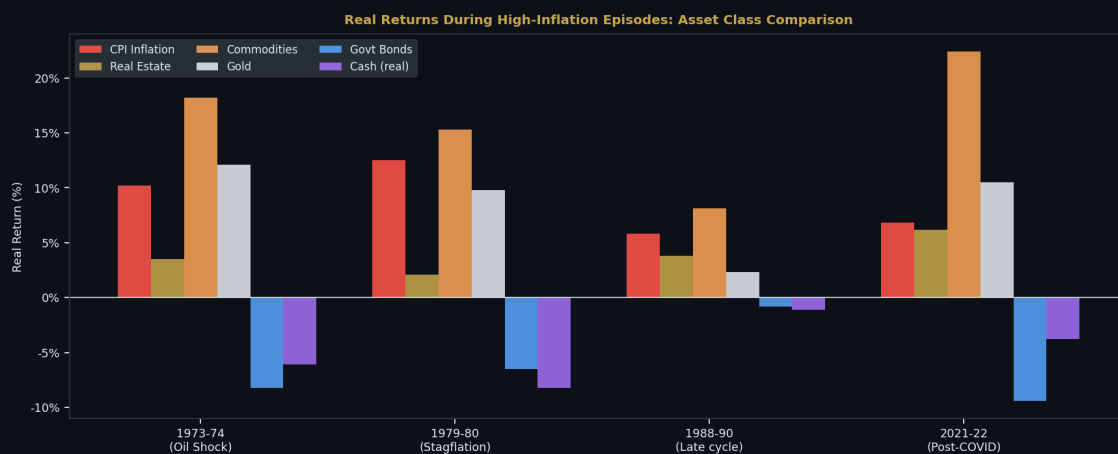


Figure 6: Real returns of major asset classes during four significant high-inflation episodes (1973-74, 1979-80, 1988-90, 2021-22). Commodities and gold consistently outperform in high-inflation environments, while government bonds and real cash destroy purchasing power. Source: Dimson, Marsh & Staunton (2024); Bloomberg; MSCI; NCREIF; author's estimates.

Real Estate: The Inflation Transmission Mechanism

Real estate's inflation-hedging properties operate through three mechanisms. First, rental income: leases indexed to CPI or market rents rise with inflation, providing growing nominal cash flows. Second, replacement cost: the cost of constructing buildings rises with construction inflation, supporting existing asset values. Third, leverage: debt-financed real estate benefits from inflation eroding the real value of fixed-rate debt obligations.

Direct real estate consistently outperforms REITs in inflationary environments because REITs trade as equities and are subject to re-rating as discount rates rise. For a family office with a 20 to 30-year horizon, direct ownership of institutional-quality real estate provides inflation protection that paper proxies cannot replicate.

Infrastructure: The Contractual Inflation Hedge

Infrastructure — toll roads, regulated utilities, airports, pipelines — is unique among real assets in that its inflation linkage is often contractual. Regulatory frameworks in most developed markets allow infrastructure operators to increase tariffs in line with CPI. This creates cash flows that are, by legal design, inflation-indexed.

The illiquidity premium of infrastructure has averaged 200 to 300 basis points over comparable listed assets, and its cash flow duration — often 30 to 50 years — makes it uniquely suited to the long-horizon preservation mandate of a family office.

Sources: CBRE Global Investment Report 2024; Preqin Infrastructure Report 2024; McKinsey Global Infrastructure Initiative 2023; NCREIF Property Index 2024.

07. Gold and Commodities: The Ancient Hedge

Gold's role as a wealth preservation asset is both ancient and contested. Critics note that gold produces no income, has no intrinsic cashflow, and can underperform for decades. Proponents point to 5,000 years of monetary history and gold's consistent performance during the periods when preservation matters most: currency crises, geopolitical disruption, and sustained inflation.

Both perspectives are correct for different time horizons and risk scenarios. The analytical framework for gold allocation should be explicitly probabilistic: what is the probability of scenarios in which gold outperforms, and what is the portfolio cost of that insurance?

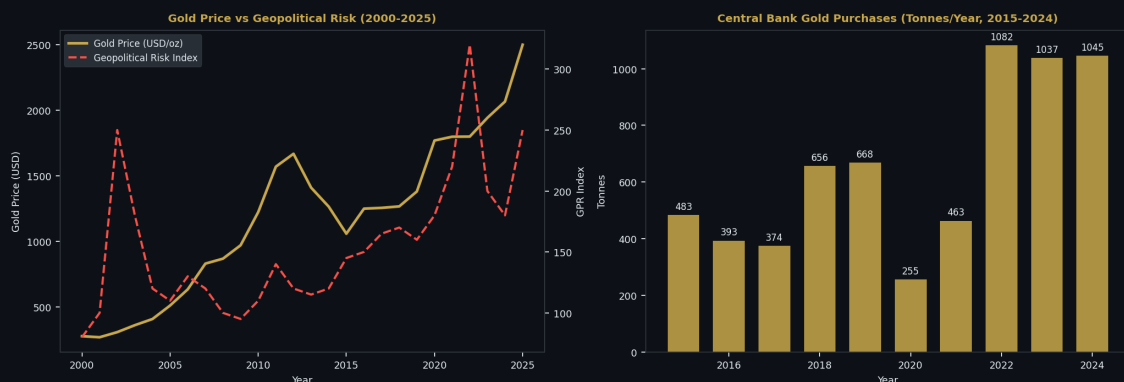


Figure 7 (left): Gold price vs Geopolitical Risk Index (2000-2025). The correlation between geopolitical stress and gold demand is consistent across episodes. Figure 7 (right): Central bank gold purchases (tonnes/year) have surged since 2022, driven by de-dollarisation dynamics. Source: World Gold Council 2024; GPR Index (Caldara & Iacoviello, Federal Reserve).

The Central Bank Signal

The most significant development in the gold market since 2022 has been the dramatic acceleration of central bank purchases. Central banks globally bought a record 1,082 tonnes in 2022, 1,037 tonnes in 2023, and over 1,000 tonnes in 2024. The buyers are predominantly emerging market central banks reducing their US dollar reserve exposure — a structural, multi-decade trend that provides persistent demand support for gold independent of the inflation cycle.

When central banks — the world's most sophisticated institutional investors with the longest time horizons — allocate at record pace to gold, the signal is not one of short-term sentiment but of structural reserve diversification. For a family office, ignoring this signal is a form of asymmetric information error.

Commodities: Inflation Beta in its Purest Form

Broad commodity indices have the highest inflation beta of any liquid asset class. Research by Gorton and Rouwenhorst showed that commodities have historically been negatively correlated with equities and bonds but positively correlated with inflation — the exact characteristics needed in a preservation portfolio.

The challenge is implementation. Spot commodity exposure is logistically complex. Commodity futures suffer from roll costs that can significantly erode returns over time. The preferred implementation for most family offices is indirect exposure through commodity producers, royalty companies, and commodity-linked infrastructure, which capture inflation beta while generating income.

Sources: World Gold Council Global Demand Trends 2024; Gorton, G. & Rouwenhorst, K.G. (2006), Facts and Fantasies About Commodity Futures, Financial Analysts Journal; Bloomberg Commodity Index Research 2024.

08. Currency Diversification and the CHF Premium

Currency risk is among the most systematically underweighted risks in UHNW portfolios. Families that have built their wealth in a single currency — typically the US dollar or the euro — often maintain near-total currency concentration without recognising it as an investment decision. It is, in fact, an implicit and highly concentrated bet on the monetary policy competence of a single central bank.

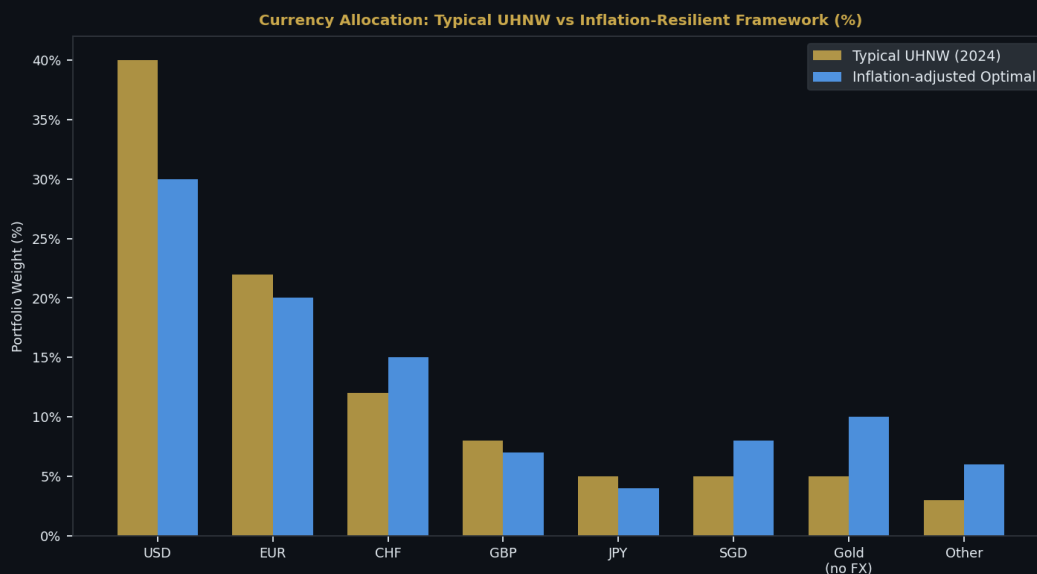


Figure 8: Currency allocation comparison — typical UHNW portfolio (2024) vs an inflation-resilient framework. The shift toward CHF, SGD, and gold reflects hard currency premium and de-dollarisation dynamics. Source: UBS Global Wealth Management Survey 2024; author's framework.

The Swiss Franc Premium

The Swiss franc (CHF) has appreciated against the US dollar by approximately 80 percent over the past fifty years and against the euro by 40 percent since the euro's creation. This secular appreciation reflects Switzerland's structural current account surplus, its conservative fiscal framework, its political neutrality, and the credibility of the Swiss National Bank's inflation mandate.

For a UHNW family, CHF exposure is not a speculative currency position. It is a form of monetary insurance — a allocation to a currency whose purchasing power has systematically outperformed major alternatives over decades. The cost of this insurance, in terms of lower nominal yield, has historically been more than recovered through appreciation.

The Singapore Dollar and Asian Hard Currencies

The Monetary Authority of Singapore (MAS) uses currency appreciation — rather than interest rates — as its primary monetary policy tool. The result is a currency that structurally appreciates over time, with the MAS

actively managing SGD upward against its trade-weighted basket when inflation pressures emerge. For families with Asian business interests or investment exposure, SGD allocation provides both currency appreciation and geographic diversification.

Sources: BIS Effective Exchange Rate Database 2024; Swiss National Bank Annual Report 2024; MAS Monetary Policy Statement 2024; UBS Currency Outlook 2024.

09. Private Markets and Inflation-Linked Returns

Private markets — private equity, private credit, private real estate debt, and venture capital — offer UHNW families access to return streams that are structurally differentiated from public markets. Their inflation-hedging properties vary by sub-asset class, but their common advantage is the ability to negotiate inflation escalators, variable rate structures, and asset-backed security that public market instruments cannot provide.

Private Credit: The Floating Rate Advantage

Private credit — direct lending to mid-market companies — is predominantly structured as floating rate, typically SOFR plus a spread of 500 to 700 basis points. Unlike fixed-rate bonds, which lose value when rates rise, private credit instruments automatically reprice upward with the interest rate cycle, providing natural inflation protection of cash flows.

Since 2022, private credit has delivered annualised gross returns of 11 to 13 percent for senior secured instruments, compared with 5 to 6 percent for investment grade bonds. The combination of credit risk premium, illiquidity premium, and floating rate structure makes private credit one of the most attractive preservation tools in the current environment.

Private Equity: Pricing Power as the Hedge

Private equity's inflation protection operates through the pricing power of portfolio companies. Unlike public equities, which are repriced daily by markets reacting to monetary tightening, private equity companies can pass on cost increases to customers if they have sufficient market position. The selection of businesses with genuine pricing power — brand-driven consumer goods, essential services, proprietary technology — is therefore the critical inflation-hedging decision in private equity allocation.

The data supports this: private equity has outperformed public equities by approximately 300 to 500 basis points annually over the past twenty years on a PME (Public Market Equivalent) basis, with the premium concentrated in periods of economic stress and rising rates.

Private Market Sub-Class	Inflation Mechanism	Typical Return Target	Liquidity Profile
Private Credit (Senior)	Floating rate — reprices with SOFR	9%-12% gross	3-5 year duration
Private Credit (Mezz)	Floating + equity kicker	12%-16% gross	4-6 year duration
PE (Buyout)	Pricing power, operational efficiency	15%-20% gross	7-12 year J-curve
PE (Growth)	Revenue growth outpaces inflation	20%-30% gross	5-10 years
RE Debt (Bridge)	Asset-backed, floating rate	8%-12% gross	12-36 months

Private Market Sub-Class	Inflation Mechanism	Typical Return Target	Liquidity Profile
Infrastructure Equity	Contractual CPI escalators	8%-12% net	10-30 year assets
Timber / Farmland	Commodity price + biological growth	6%-10% net	Perpetual + income

Sources: Preqin Private Markets Performance Analysis 2024; Hamilton Lane Private Markets Navigator 2024; Bain Private Equity Report 2024.

10. Geopolitical Fragmentation and Capital Safety

The post-1989 era of globalisation created a capital allocation environment of unprecedented stability. Capital could flow freely across borders. Property rights were enforceable globally. Sanction risk was minimal for developed-market investors. The primary risk was market volatility, not confiscation, sanctions, or political expropriation.

That era is over. The weaponisation of the US dollar financial system through the 2022 Russian sanctions — the freezing of \$300 billion in sovereign reserves — changed the calculus for every major sovereign and family office globally. If sovereign reserves are not safe from confiscation, no private capital held in the wrong jurisdiction is categorically safe either.

The Russian sanctions of 2022 were not a geopolitical event for Russia alone. They were a global demonstration that the dollarised financial system can be weaponised. Every family office CIO and sovereign wealth fund drew the same conclusion: concentration in USD-denominated assets and US custodians is a geopolitical risk, not merely a financial one.

Capital Safety: A Multi-Dimensional Framework

Risk Dimension	Pre-2020 Assessment	Current Assessment	Mitigation
Sanctions Risk	Low — limited to pariah states	Medium — expanding scope	Jurisdictional diversification, neutral custodians
Currency Weaponisation	Theoretical	Demonstrated (Russia 2022)	CHF, gold, SGD, hard asset allocation
Expropriation Risk	Low in OECD	Rising in select democracies	Bilateral investment treaties, diversified domicile
Capital Controls	Near-zero in G7	Emerging risk (Sri Lanka, Turkey precedents)	Pre-positioning in stable jurisdictions
Cyber & Infrastructure	Low — contained incidents	High — state-sponsored attacks	Physical gold, bearer assets, diversified custody
Tax Extraterritoriality	FATCA precedent	OECD Global Minimum Tax expanding	Compliant structure optimisation

The Four Pillars of Geopolitical Capital Safety

Leading family offices are restructuring their capital safety frameworks around four principles. First, jurisdictional diversification: spreading assets across Switzerland, Singapore, Luxembourg, and the UAE to ensure no single political risk can impair the entire portfolio. Second, custodial diversification: using multiple

custodians in multiple jurisdictions rather than consolidating with a single prime broker. Third, physical asset allocation: increasing exposure to assets that exist independent of the financial system — physical gold, direct real estate, farmland. Fourth, currency diversification: reducing single-currency concentration through hard currency allocation.

Sources: BIS Committee on the Global Financial System 2023; Caldara, D. & Iacoviello, M. (2022), Measuring Geopolitical Risk, American Economic Review; World Gold Council Central Bank Survey 2024.

11. The UHNW Preservation Framework

Drawing together the preceding analysis, the UHNW preservation framework is built on two axes: the effectiveness of each asset class as an inflation hedge and its liquidity profile. This two-dimensional matrix allows a portfolio to be constructed that provides comprehensive inflation protection across both liquid and illiquid tiers.

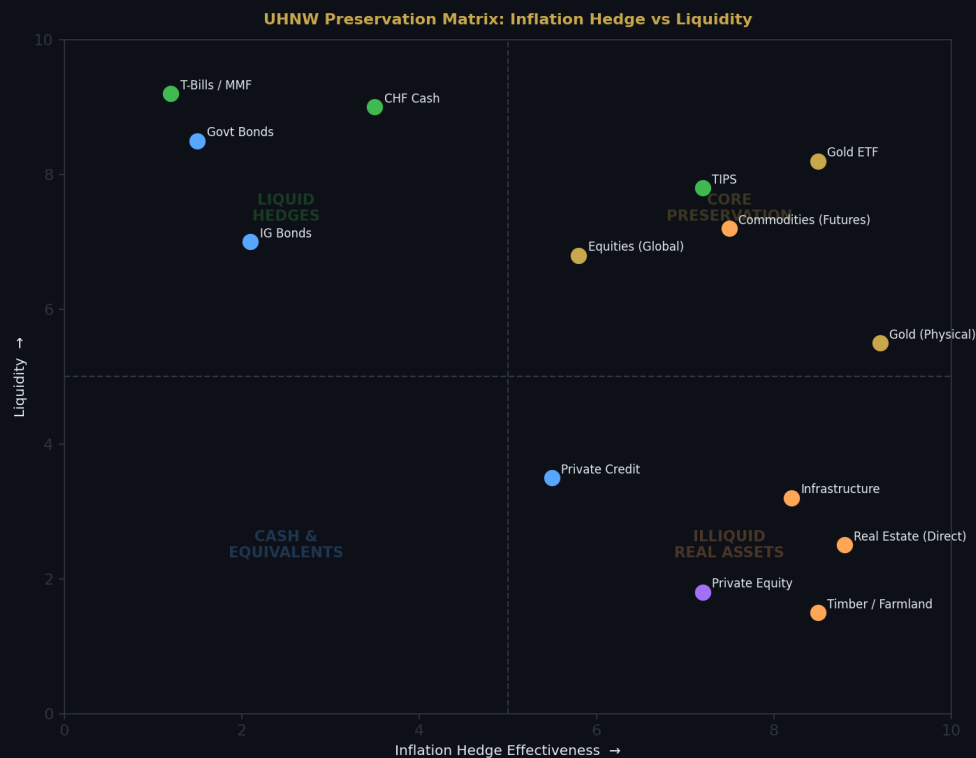


Figure 9: UHNW Preservation Matrix mapping asset classes by inflation hedge effectiveness (x-axis) and liquidity (y-axis). Core preservation assets cluster in the upper-right quadrant (high inflation hedge, high liquidity). Source: Author's framework.

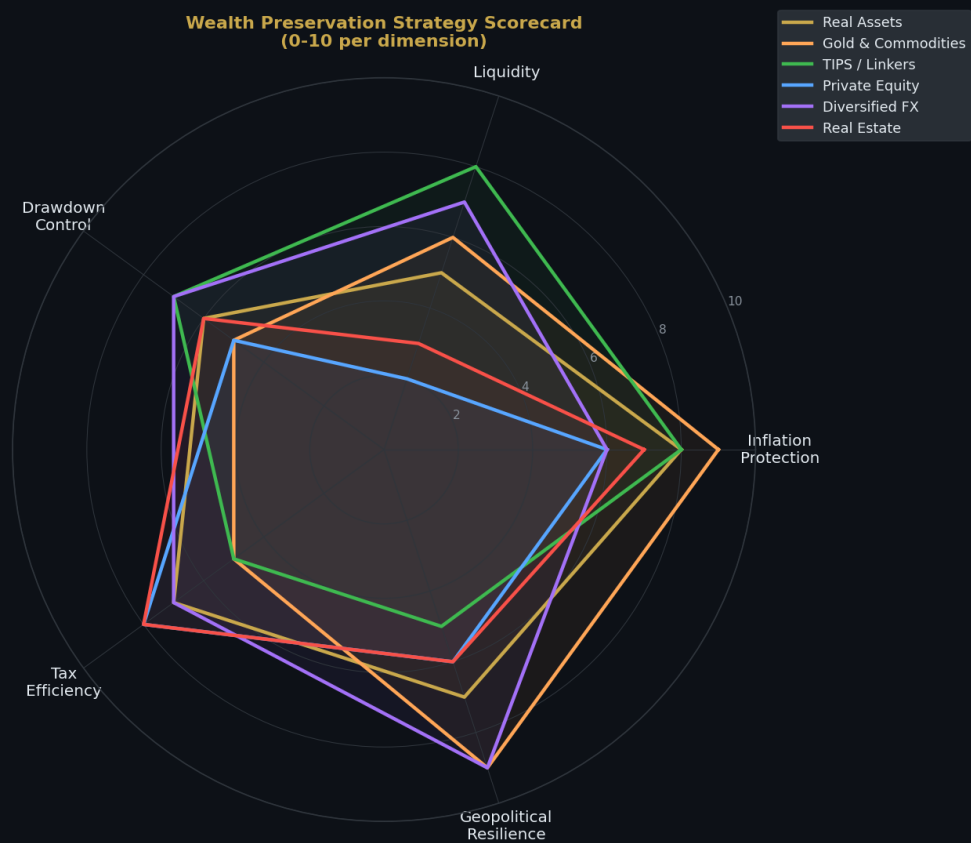


Figure 10: Wealth Preservation Strategy Scorecard — six strategies scored across five dimensions (0-10). No single strategy dominates all dimensions, confirming the need for a diversified preservation portfolio. Source: Author's framework based on academic literature.

The Recommended Preservation Allocation

Asset Class	Recommended Range	Role	Inflation Mechanism
Global Equities (value/dividend)	15%-25%	Growth + moderate hedge	Pricing power, earnings growth
Real Estate (direct)	10%-18%	Core preservation	Rent escalation, replacement cost
Infrastructure	8%-15%	Contractual inflation linkage	CPI-indexed tariffs
Gold (physical + ETF)	5%-10%	Monetary insurance	Currency debasement hedge
Commodities & Natural Resources	5%-10%	Inflation beta	Direct price level linkage
Private Credit (floating)	8%-15%	Income + inflation protection	SOFR + spread repricing
TIPS / Inflation Linkers	5%-10%	Liquid core inflation hedge	CPI-adjusted principal

Asset Class	Recommended Range	Role	Inflation Mechanism
CHF / SGD / Hard Currencies	5%-10%	Monetary diversification	Secular appreciation + stability
Private Equity (pricing power)	10%-20%	Long-run growth	Operational inflation pass-through
Cash & Short Duration	3%-8%	Liquidity buffer	Limit — avoid in repression

Source: Author's framework synthesised from Bridgewater Associates All Weather Portfolio; Dalio (2021); Ilmanen (2022); J.P. Morgan Long-Term Capital Market Assumptions 2024.

12. Tax Efficiency as a Return Driver

In the context of wealth preservation, tax efficiency is not a secondary consideration — it is a primary return driver. The difference between gross and net-of-tax real returns can exceed 200 basis points annually, compounding dramatically over decades. A portfolio that returns 8 percent gross and 5.5 percent net of tax in a 3 percent inflation environment delivers only 2.5 percent real net return — barely above the preservation threshold.

The Five Tools of Tax-Efficient Preservation

Tool	Mechanism	Typical Annual Value (bps)
Asset Location Optimisation	Placing tax-inefficient assets in tax-sheltered structures	50-100 bps
Unrealised Gain Management	Holding appreciated positions to defer realisation	30-80 bps
Charitable Structures	DAFs, foundations, CLATs to convert taxable gains to charitable value	Variable — significant
International Structure	Holding companies in low-tax jurisdictions for active investing	100-200 bps (AUM-dependent)
Loss Harvesting	Systematic realisation of losses to offset gains	20-60 bps
Step-Up in Basis	Estate planning to reset cost basis at death	Generational — major value

The single most powerful tool of multigenerational wealth preservation is not asset allocation — it is the step-up in cost basis at death. A portfolio held for 30 years with embedded gains of \$50M eliminates that entire liability through proper estate planning. Tax efficiency is not tax evasion. It is the disciplined application of legal frameworks to protect the real value of family capital.

Sources: Ernst & Young Global Tax Outlook 2024; KPMG International Tax Review 2024; Choate, N. (2021), *Life and Death Planning for Retirement Benefits*, Ataxplan Publications.

13. Behavioural Pitfalls in Preservation

The analytical frameworks for inflation protection are well-established. The primary reasons families fail to implement them are behavioural, not analytical. Understanding these pitfalls is as important as understanding the asset classes themselves.

Behavioural Bias	How It Manifests in Preservation	Antidote
Nominal Money Illusion	Celebrating 8% returns while losing 2% in real terms	Express all returns in real, after-tax terms
Recency Bias	Extrapolating the low-inflation 2010s into future portfolio construction	Use 50+ year historical data, not 10-year cycles
Home Currency Bias	Holding 80-90% in domestic currency without conscious choice	Explicit currency policy with hard limits on single-currency exposure
Liquidity Premium Aversion	Refusing 5-10 year lockups despite genuine long horizon	Match lockup to actual liquidity needs, not psychological comfort
Gold Resistance	Dismissing gold as 'unproductive' while holding cash in repression	Frame gold as monetary insurance, not investment — size accordingly
Volatility Anchoring	Selling inflation hedges during short-term drawdowns	Pre-commit to preservation allocations via Investment Policy Statement
Complexity Aversion	Preferring simple portfolios that are simply wrong	Accept that preservation in complex environments requires complex solutions

Sources: Kahneman, D. (2011), *Thinking Fast and Slow*, Farrar, Straus and Giroux; Thaler, R. (2015), *Misbehaving*, W.W. Norton; Pompian, M. (2012), *Behavioral Finance and Wealth Management*, Wiley.

14. Implications for Private Banking Professionals

The wealth preservation paradox creates a specific professional opportunity for private bankers and wealth managers who can articulate it clearly. Most UHNW clients have an intuitive understanding that something has changed in the macro environment, but lack the analytical framework to act on it. The advisor who can provide that framework — concisely, with evidence, and with concrete recommendations — will earn trust that competitors cannot match.

The private banker's most valuable asset in 2026 is not access to products or deal flow. It is the ability to have an intelligent conversation about real returns, inflation, and geopolitical risk with a client who has been told his portfolio is doing fine because it is up 7% nominally. That conversation is the advisory relationship. Everything else is execution.

The Client Conversation Framework

A structured approach to the preservation conversation with a UHNW client follows five steps. First, establish the real return baseline: translate all current and historical returns into real, after-tax terms. This alone is often a revelation. Second, quantify the inflation exposure: show the client how much of their portfolio is in assets that have historically destroyed real wealth in inflationary environments. Third, present the preservation spectrum: from liquid hedges to illiquid real assets, with evidence on historical performance. Fourth, build the Investment Policy Statement: formalise real return objectives, inflation assumptions, liquidity needs, and currency policy. Fifth, implement systematically: start with the highest-conviction changes and layer complexity over time.

What Differentiates the Best Preservation Advisors

Skill / Characteristic	Basic Practice	Best Practice
Return Framing	Reports nominal returns	Reports real, after-tax, after-inflation returns
Inflation Literacy	Knows current CPI	Understands structural drivers and regime shifts
Asset Class Depth	Knows public market allocations	Deep knowledge of real assets, private credit, alternatives
Currency Awareness	Manages FX risk in portfolios	Actively constructs multi-currency preservation policy
Behavioural Coaching	Prevents panic selling	Pre-commits clients to preservation frameworks in writing

Skill / Characteristic	Basic Practice	Best Practice
Tax Integration	Works with tax advisor	Leads tax-efficient structure design as core service
Geopolitical Awareness	Monitors political risk	Builds jurisdictional and custodial diversification

Sources: CFA Institute Private Wealth Management Certificate curriculum 2024; Pictet Wealth Management Investment Philosophy 2024; Lombard Odier Sustainable Investment Framework 2024.

15. Conclusion

The wealth preservation paradox is real and it is structural. The tools that preserved capital in the low-inflation, low-rate environment of the past forty years are not the tools that will preserve capital in the inflationary, geopolitically complex environment of the next decade. Families that do not adapt their frameworks will experience the slow, invisible erosion of real purchasing power — often without realising it until years of compounding have made recovery structurally difficult.

The analytical solution is available and well-documented: diversify into real assets, reduce duration and nominal fixed income exposure, diversify currencies toward hard stores of value, allocate to private markets with inflation-linked return structures, and maintain rigorous tax efficiency. The implementation challenge is behavioural and relational — it requires advisors who can articulate why conventional wisdom has become dangerous, and clients who trust those advisors enough to act.

Wealth preservation is not about avoiding risk. It is about understanding which risks you are taking implicitly — through inaction, through conventional portfolios, through single-currency concentration — and replacing those hidden risks with explicit ones that are compensated, diversified, and aligned with your actual time horizon and objectives.

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About the Author

Federico Bonessi is an MSc Finance candidate at IESEG School of Management in Paris. His professional background spans wealth management at BPER Banca Private Cesare Ponti, M&A analysis at Finance Vision Network, and asset management research. He founded The Meridian Playbook — an independent research project on capital allocation, portfolio strategy and global financial systems. He writes at themeridianplaybook.com and can be reached at linkedin.com/in/federico-bonessi.

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